

Loyalist Exploration Limited
Management's Discussion and Analysis Form 51-102F1
For the six months ended June 30, 2025

Loyalist Exploration Limited

Management's Discussion and Analysis

For the six months ended June 30, 2025

Introduction

The following Management Discussion and Analysis ("MD&A") of the financial condition and results of operations of Loyalist Exploration Limited. ("Loyalist" or the "Company") has been prepared by management as of August 29, 2025 and was reviewed and approved by the Audit Committee, and is intended to supplement and complement the condensed unaudited interim consolidated financial statements and notes thereto, prepared in accordance with International Accounting Standard 34 Interim Financial Reporting ("IAS 34") as issued by the International Accounting Standards Board ("IASB"), for the three and six months ended June 30, 2025, (collectively, the "Financial Statements"). The following discussion of performance, financial condition and prospects should be read in conjunction with the audited consolidated financial statements for the year ended December 31, 2024 and the MD&A for the year ended December 31, 2024. The information provided herein supplements but does not form part of the financial statements. All amounts are stated in Canadian dollars unless otherwise indicated.

The Company's public filings can be viewed on the SEDAR website (www.sedarplus.ca) and on the Company's website (www.loyalistexp.ca).

Description of the business

Loyalist Exploration was incorporated on October 4, 2017, under the Canada Business Corporations Act (the "Act") as Golden Birch Resources Inc. The name was changed to PNG Copper Inc. on August 12, 2021. The name was changed to Loyalist Exploration Limited on October 19, 2023. The principal business of the Company is the acquisition, exploration, and development of mineral property interests in the Timmins Mining Camp, Ontario, Canada. The Company is a public company incorporated in Canada with limited liability under the legislation of Canada. The Company's shares trade on the Canadian Securities Exchange under the trading symbol PNGC.

The registered office of the Company is located at 110 Yonge Street, Suite 1601 Toronto, ON M5C 1T4.

Exploration projects

Gold Rush

Gold Rush Property Highlights:

1. Location. 30 km west of Timmins, Ontario, located within the Timmins Gold Camp.
2. Historical drilling. 15 completed drill holes with best assay 2.08 g/t Au and 11.5 g/t Ag over 1 m.
3. Accessibility. Road access & trails. Property less than 30 km drive from Timmins, Ontario.
4. Environmental, social concerns. No lakes, homes, camps, surface rights owners nearby.
5. Three high priority prospects, North Shaft Zone, North Vein Area & Mid Point Area. Additional property prospects merit future exploration.
6. Size. 41 contiguous cell, composing an aggregate size of approximately 2026 acres.
7. Potential for future growth, additional gold-silver mineralization and property expansion.
8. Attractive geological location for additional discoveries such as Cu, Zn, Ni, PGE etc.
9. Assessment reserve. Approximately \$513,000 worth of credits in reserve to distribute across the 41 mining cells.

On March 31, 2025, the Company completed an agreement to option the Gold Rush Property (the "Gold Rush Option"). The Gold Rush Property is located approximately 30 km west of Timmins Ontario.

The Property consists of two main zones (North Shaft and North Vein) containing the bulk of previous exploration. Drill results and surface sampling was completed by Sanatna Resources Inc. and the claim holders of the Property from 2020 to 2024.

North Shaft Zone

Fifty (50) grab and chip samples¹ were taken from the immediate shaft area, muck piles near the shaft, and 400

¹ Grab and chip samples, by their nature, are selective samples and the assay results may not necessarily represent true underlying mineralization.

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m south of the shaft and up to 650 m NNW of the shaft. Eleven samples returned > 1 g/t Au, with high values of 4.93, 8.88 and 27.3 g/t Au reported. The other 39 samples returned from Trace to 0.884 ppm Au, with about 1/3 returning > 0.5 g/t Au.

Drilling

Hole number	Hole Length (m)	Depth of Mineralization (m)	Width (m) ²	Au (g/t)	Ag (g/t)
NS-21-01	123	52.5-57.5	5	0.10	0.52
NS-21-02	144	53-54	1	0.67	3.40
		71-77	6	0.33	1.38
NS-21-03	119	36-38	2	0.33	2.65
		47-50	3	0.50	2.70
NS-21-04	117	63-68	5	1.28	7.73
NS-21-05	120	53-54	1	0.29	1.60
		54-55	1	2.08	11.50
		57-60	3	1.02	5.07
NS-21-06	103	64-66	2	0.57	4.15
		68-70	2	0.33	2.05
NS-21-07	165	104-106	2	0.25	1.15
		108-113	5	0.79	3.73

North Vein Zone

Twenty-eight (28) grab samples¹ were taken, targeting three areas, the vein, an area west of the creek, and an additional spot about 450 m north of the main showing. Gold assays ranged from trace to 11.2 g/t Au, with 7 samples exceeding 1 g/t Au.

Drilling

Hole number	Hole Length (m)	Depth of Mineralization (m)	Width (m) ²	Au (g/t)	Ag (g/t)
NV-21-01	158	No Significant results			
NV-21-02	93	No Significant results			
NV-21-03	129	51-53	2	2.22	2.45
NV-21-04	180	No Significant results			

The Gold Rush Property is located within the "Timmins Gold Camp" and consists of 41 contiguous mining claims located in Turnbull Township, approximately 30 kms west of Timmins, Ontario. It is accessible with roads running through the Property.

The Gold Rush Property is part of a geological region called the Kamiskotia Gabbroic Complex. The geology of the property consists of gabbro, pyroxenite, granodiorite, diorite, intermediate porphyry, felsic intrusive, rhyolites, granite. The mineralized plumbing system on the property is structurally controlled by East-West and Northwest trending faults that appear to splay off the regional North-South trending fault. Most gold deposits in the Timmins gold camp have an association to felsic intrusions producing large mineralized systems.

Gold and silver mineralization on the Gold Rush Property is found in the form of fine and coarse grained pyrite and pyrrhotite within shears associated with brecciated quartz, carbonate, ankerite, sericite, silicification and chlorite alteration associated with faulting.

Martel Pits, Massive Sulphide Pits, Three Mile, and Northwest Pits are additional prospects on the property identified by the Optionor.

² True widths are unknown at this time

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Drill hole details

Hole number	Azimuth	Dip	Core size	Length	Surveyed UTM (E)	Surveyed UTM (E)	Surveyed elevation
NS-21-01	215	-43.2	NQ	123	448697	5369994	291
NS-21-02	217	-65.0	NQ	144	448698	5369993	292
NS-21-03	215	-45.3	NQ	119	448661	5370018	289
NS-21-04	215	-70.9	NQ	117	448661	5370018	289
NS-21-05	213	-45.4	NQ	120	448745	5369969	289
NS-21-06	214	-75.1	NQ	103	448745	5369968	289
NS-21-07	222	-64.4	NQ	165	448719	5370021	292
NV-21-01	175	-45.2	NQ	158	448461	5371068	275
NV-21-02	175	-60.7	NQ	93	448460	5371068	275
NV-21-03	231	-45.0	NQ	129	448457	5371071	275
NV-21-04	175	-46.0	NQ	180	448593	5371053	276

Technical information disclosed in this press release has been taken from the "Report on CSMAR Surveys at the Gold Rush Project Timmins, Ontario by Clearview Geophysics Inc." dated January 3, 2021, "Sanatana Resources Inc. Assessment Report – Prospecting, Geophysics, Stripping, Till Sampling and Drilling" dated January 26, 2022, and by the Optionor.

The Gold Rush Option terms are:

Pursuant to the terms of the Option, Loyalist will:

- a) pay to Optionor aggregate cash consideration of \$160,000 as follows:
 - i. \$25,000 upon the entering into of the Definitive Agreement (deferred to May 31, 2025;
 - ii. \$35,000 on the first anniversary date of the Definitive Agreement;
 - iii. \$45,000 on the second anniversary date of the Definitive Agreement;
 - iv. \$55,000 on the third anniversary date of the Definitive Agreement;
- b) issue to Optionor an aggregate of 20,000,000 common shares in the capital of Loyalist (the "**Loyalist Shares**") as follows:
 - i. 3,500,000 upon the entering into of the Definitive Agreement (issued);
 - ii. 4,000,000 on the first anniversary date of the Definitive Agreement;
 - iii. 5,000,000 on the second anniversary date of the Definitive Agreement;
 - iv. 8,000,000 on the third anniversary date of the Definitive Agreement;
- c) Complete total accumulated exploration expenditures on the Claims in the amount of:
 - i. \$100,000 by the first anniversary date of the Definitive Agreement;
 - ii. \$300,000 by the second anniversary date of the Definitive Agreement;
 - iii. \$700,000 by the third anniversary date of the Definitive Agreement;
- d) grant to Optionor a 2.0% net smelter returns royalty (the "NSR") on the Claims with an option for Loyalist to re-purchase 50% of the NSR (i.e 1.0% of the 2.0% NSR) at any time at a price of \$1,000,000.

Loveland

Property Highlights:

- **292 contiguous mineral claims for a total area of 6,244 hectares.**
- **Hollinger Zone, historical estimate of 422,350 short tons grading 0.71% Ni and 0.42% Cu.⁽¹⁾**
- **Cominco Zone, historical estimate of 130,000 short tons grading 0.73% Ni and 0.68% Cu.⁽²⁾**
- **Open along strike and at depth, forming an exploration corridor with a 10 km strike length.**

- **Gold assays include 6.37 g/t Au over 8.55 m (383.25 m to 391.8 m down-hole).**
- **Additional intervals from the hole included 6.17 g/t over 3.0 m from 403.0 m to 406.0 m and 10.39 g/t over 3.1 m from 410.30 m to 413.4 m.⁽³⁾**
- **Surface gold grab samples about 400 m southeast of the historical Cominco Zone containing 8.98 g/t Au and 11.48 g/t Au.⁽³⁾⁽⁷⁾**

The Loveland property is located in Byers, Loveland, Thorburn, and Moberly townships, in the Porcupine Mining Division. The Property lies within the Superior Province of Archean basement rocks, in the Eastern Canadian Shield. It is situated in the northwest region of the Abitibi Greenstone belt. The local geology consists of intercalated mafic to intermediate volcanic flows. These flows are locally intruded by feldspar porphyries and gabbro. The gabbroic rocks have similarities to the Kamiskotia gabbroic complex.

Mineralization consists of chalcopyrite, pentlandite, and pyrrhotite. Sulphides occur as inter-granular mineralization within a gabbro, transitioning to fracture-controlled and semi-massive lenses along the contact between the gabbro and mafic to intermediate volcanic flows. The mineral concentration occurs as trace to semi-massive (up to 75%) pyrrhotite, with minor pyrite and local concentrations of 6% to 8% chalcopyrite and pentlandite.

The Hollinger Zone

Mineralized zones of massive sulphide are present along the contact of mafic (gabbroic) intrusions (dykes) and intermediate volcanic rocks further to the west. Along the contact, the metavolcanic andesitic rocks are intensely altered (feldspathization), whereas the gabbro is only minimally altered within a narrow zone of schistose carbonate alteration. The massive sulphide zones consist primarily of pyrrhotite-pyrite-chalcopyrite- pentlandite, presenting as intergranular mineralization increasing to massive sulphides approaching the andesite contact. The main zone is interpreted as occupying a shear zone dipping steeply towards N075° and plunging southward at 60°.

Drill intersections have delineated the historical deposit over 125 m of strike and show a maximum interpreted width of 16 m to a maximum depth of 240 m. The historical deposit coincides with airborne and ground geophysical Mag and EM anomalies. An isopach map for the drill intercepts suggests that the deposit is open down- plunge southward and becomes thicker with depth. The historical Hollinger Zone deposit is not exposed at surface. Overburden depths recorded for the Hollinger Mines' drill holes range from 12 m on the flank of the deposit to 41 m directly over it.

Cominco Zone ⁽⁶⁾

The Cominco zone was discovered by Cominco in 1972. The zone was drill tested to a depth of approximately 120 m. Four drill campaigns completed by Amador Gold between 2007 and 2010, were designed to test for possible depth and strike extensions of the Cominco zone. The first three drill campaigns intersected the mineralized gabbro on 50 m centres both down dip and along strike to define the mineralized horizon. The fourth campaign was designed to infill specific areas of the Cominco zone on 25 m spacing to define the geometry of mineralization, which is steeply dipping to the WSW. The drilling extended both the dip and strike lengths of the earlier defined mineralization and it remains open in both directions as well as down dip.

Significant historical intercepts from 2007 to 2010 include 45.0 m of 0.70% Ni and 0.75% Cu in drill hole AMDG07-3. Drill hole LL08-05 intersected 0.53% Ni and 0.88% Cu over 22.80 m, including 0.65% Ni and 1.0% Cu over 11.20 m, and 1.0% Ni and 1.92% Cu over 2.70 m. This drill hole was collared 50 m northeast, on strike, of drill hole AMDG07-1, which intersected 0.41% Ni and 0.61% Cu over 25.80 m. A broad mineralized zone was intersected in drill hole LL08-11 grading 0.33% Ni and 0.38% Cu over 37.60 m, including 0.59% Ni and 0.73% Cu over 8.50 m, and 0.85% Ni and 0.78% Cu over 6.00 m.

A deeper mineralized zone from 488.0 m to 492.0 m, was intersected in drill hole LL08-22, with a grade of 0.98% Ni and 1.41% Cu. This gabbroic style mineralization indicates the potential for a continued mineralized system to depth. Additionally, drill hole LL09-07 intersected 7.30 m of 0.44% Ni and 0.43% Cu within mineralized gabbro. This zone is associated with a weak to moderate induced polarization ("IP") and Versatile

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Time Domain Electromagnetic ("VTEM") anomaly about 400 m northwest of the Cominco zone and may represent a new zone of the intrusive gabbro style of mineralization.

Gold Mineralization

Gold mineralization was intersected in holes drilled by Amador Gold Corp. to a depth of 300 m below the historical Cominco Zone deposit in 2007-2009 ⁽⁴⁾. Gold-bearing arsenopyrite and pyrite mineralization was encountered in sections of silicified granodiorite. Amador's significant historical drill hole (LL08-13) intersected a mineralized interval that assayed 6.37 g/t Au over 8.55 m (383.25 m to 391.8 m down-hole). Additional intervals from the hole included 6.17 g/t over 3.0 m from 403.0 m to 406.0 m and 10.39 g/t over 3.1 m from 410.30 m to 413.4 m. ⁽⁴⁾ The reported lengths of gold intersections are core lengths and not true lengths which are currently unknown.

Anomalous gold values ranging from 100 ppb to 3800 ppb were recorded from several other drill holes (including AMDG07-01, LL08-04, LL08-09, LL09-13W, LL08-14, LL08-21, LL08-22, and LL08-23) over a strike more than 500 m within the granodiorite. The anomalous gold values occur over various widths from less than a metre to several metres of core. True widths are unknown. Prospecting in 2008 led to the discovery of a surface gold showing about 400 m southeast of the historical Cominco Zone deposit. The showing returned grab samples containing 8.98 g/t Au and 11.48 g/t Au collected from granodiorite containing quartz-stringers mineralized with disseminated sulphides⁽⁶⁾⁽⁷⁾.

The gold-bearing sulphide mineralization occurs with silicification that presents as silica flooding and quartz veining. The better values, such as those from hole LL08-13, occur in intervals with blue-grey quartz veining and strong silicification with 3-10% sulphides comprising arsenopyrite, pyrite and trace amounts of sphalerite, and possibly trace galena and chalcopyrite. Silicification with trace to 2% sulphides was observed marginal to joints and local quartz stringers in all holes where anomalous gold was recorded.

The results from Amador's drilling suggest the presence of a system of gold enrichment within the granodiorite. Additional exploration will be required to determine the orientation and extent of the gold-enriched zone.

Exploration Potential

Earlier work by Hollinger Mines to the southeast of the historical Cominco zone, within the original Moneta Loveland land package by Hollinger Mines lead to the discovery of the Hollinger zone, which contains a historical mineral resource estimate from 1974 of 401,000 tonnes grading 0.71% Ni and 0.42% Cu. Note that this estimate, developed prior to the introduction of NI 43-101 has not been independently verified and investors are cautioned not to treat this estimate as reliable or current. This zone is open at depth and it has only been drilled to 120 m. The trend extrapolated from the Hollinger and Cominco zones highlights a potential exploration corridor of approximately 10 km strike length.

Extensive airborne surveys were completed over many areas of the Abitibi Greenstone Belt including Byers and Loveland townships. A series of ground geophysical surveys was also completed on portions of the Property. The geophysical surveys have highlighted several favourable exploration targets that have yet to be drill tested.

Statement Regarding Historical Mineral Resource Estimates

The Hollinger zone historical mineral resource estimate is unclassified and does not comply with CIM Definition Standards on Mineral Resources and Mineral Reserves as required by NI 43-101. The Hollinger zone historical mineral resource estimate was taken from a report titled "Geological Report, Rousseau Loveland Property, Loveland Township" authored by W. C. Kerr and dated February 1992, citing data provided by Hollinger Mines Limited from 1974. Given the age of the information and the lack of underlying data, investors are cautioned not to treat the estimate as current or rely on the estimate in making an investment decision. The historical mineral estimate is being included herein to provide shareholders with background on the rationale for acquiring the asset. A qualified person has not done sufficient work to classify this historical mineral resource estimate as current mineral resources and the Company is not treating these historical mineral resource estimate as a current estimate. It is uncertain whether following evaluation and/or further exploration, the historical mineral resource estimate will ever be able to be reported in accordance with NI 43-101. The Company has no current

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plans to undertake the work to bring any or all of the historical resource estimates up to the CIM reporting standards.

Acquisition terms

- (a) paid to the vendor aggregate cash consideration of \$250,000;
- (b) granted to vendor a 2.0% net smelter returns royalty (the “**NSR**”) on the Claims with an option for Loyalist to re-purchase 50% of the NSR (i.e 1.0% of the 2.0% NSR) at any time at a price of \$1,000,000 (subject to CPI adjustment); and
- (c) issued 10,000,000 Loyalist Shares to the vendor.

Tully

On April 8, 2025, the Company signed a binding letter of intent to purchase the Tully Property (the “Tully LOI”). The Tully Project is located approximately 25 km northeast of Timmins Ontario. The Property includes a historical mineral resource of 107,000 ounces (144,000 ounces gold uncapped reported by *Francis Minerals Ltd.*, 2013). The Company also announces the upsizing of it previously announced (February 12, 2025) non-brokered private placement, now consisting of the sale of up to 150,000,000 units of the Company (each, a “**Unit**”), at a price of \$0.01 per Unit, for gross proceeds of up to \$1,500,000 (the “**Offering**”) (see below).

Tully Property Highlights:

- 458 hectare mining lease
- 25 km northeast of Timmins
- Historical resource estimate of:
 - **indicated** 358,000 tonnes grading 6.56 g/t gold for **76,000 ounces**
 - **inferred** 184,000 tonnes 5.17 g/t gold for **31,000 ounces**
 - **total 107,000 ounces** (uncapped 144,000 ounces) (see table 1)
- potential for expansion

**Historic Mineral Resource Estimate December 15, 2013 by Francis Minerals Ltd
Tully Deposit ***

Model	Classification	Tonnes (*1000)	Grade (Au g/t)	Grams Au (*1000)	Ounces Au
Capped	Indicated	358	6.56	2,350	76,000
Capped	Inferred	184	5.17	1,000	31,000
Uncapped	Indicated	362	8.70	3,150	101,000
Uncapped	Inferred	186	7.17	1,337	43,000

The Tully Project Overview

The Tully Deposit

Tully is located approximately 25 kms northeast of Timmins and includes an historic indicated and inferred Mineral Resource Estimate (not published). The Project is located within the Timmins-Porcupine Gold Camp and is approximately 2 km southwest of the Bradshaw Gold Project of Gowest Gold Ltd. The Timmins-Porcupine Gold Camp, includes the Dome and Hollinger mines.

Prospective structures splay off the Porcupine-Destor Fault through the Tully area. Mineralization at Tully occurs within a 30 m wide mafic volcanic unit with an approximate west-southwest strike and steep northerly dip. The hanging wall consists of sedimentary rocks and the footwall consists of ultramafic rocks. As currently understood, the deposit comprises an array of shallowly inclined quartz-carbonate veins or lenses stacked 'ladder-style' within the volcanic rocks and constrained by its hanging wall and footwall contacts. The higher-grade core of the deposit extends over 600 m along strike and 400 m down dip, and plunges moderately toward

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the east-northeast. The mineralised veins/lenses host gold primarily within irregular pyrite clusters and also commonly as free visible gold.

The Tully property occurs within a swampy area and is covered by blanket of glacial drift, averaging 30 m thickness which hid the deposit from early explorers; thus, the geology is entirely derived from drillhole and geophysical data. Exploration by a number of companies over several decades has resulted in the drilling of many holes - the historical resource estimate utilized data from an extensive database of 356 holes totaling 91,623 m, with 718 vein intercepts being interpreted and incorporated into the lens wireframes. A qualified person has not done sufficient work to classify the historical estimate as current mineral resources or mineral reserves. Loyalist is not treating the historical estimate as current mineral resources or mineral reserves.

The Tully LOI terms are:

- (d) pay to vendor, aggregate cash consideration of \$500,000 upon closing of the Purchase;
- (e) grant to the vendor, a 2.0% net smelter returns royalty (the "**NSR**") on the Tully Property with an option for Loyalist to re-purchase 50% of the NSR (i.e. 1.0% of the 2.0% NSR) at any time at a price of \$1,000,000 (subject to Consumer Price Index adjustment); and
- (f) issue such number of Loyalist Shares to the Vendor which is expected to be approximately 89,255,000 shares, that will result in Vendor, having ownership of 19.9% of the total issued and outstanding Loyalist Shares after giving effect to Loyalist Shares to be issued pursuant to (i) the Definitive Agreement, (ii) completion of the acquisition by Loyalist of the option to acquire the Gold Rush Property (3,500,000 Loyalist Shares) (as announced on March 31, 2025), (iii) acquisition by Loyalist of the Loveland Property (8,000,000 Loyalist Shares) (as announced on February 27, 2025), and (iv) the completion of a total cumulative financing of a minimum of \$1.3 million or more (see below).

Additional Consideration

As additional consideration, Loyalist will: (1) pay to the vendor, an aggregate of \$100,000; and (ii) issue to Vendor an aggregate of thirty million (30,000,000) Loyalist Shares or cash in lieu thereof, in whole or in part, at the sole discretion of Loyalist, at a price of \$0.01 per Loyalist Share, in installments upon the achievement of milestones on any part of the Tully, as follows:

- (a) \$100,000 upon the completion of a drilling intercept of at least 6 g/t of gold over 8 meters or equivalent on the Tully Property payable and issuable within sixty (60) days of the announcement of this milestone;
- (b) 15,000,000 Loyalist Shares upon filing of a technical report on the Tully Property where a gold resource is re-evaluated (or restated) to a NI 43-101 standard and the total gold resource exceeds 200,000 ounces, payable and issuable within sixty (60) days of the technical report being filed under the Purchaser's profile on SEDAR+;
- (c) 15,000,000 Loyalist Shares at the time of announcement of a decision to mine on the Tully Property, payable within sixty (60) days of such announcement;
- (d) \$50,000 payable in cash or Loyalist Shares at the sole discretion of Loyalist, as soon as practicable upon the completion of one or more equity financing(s) (the "Follow-on Financings") for aggregate gross proceeds of \$500,000. The Follow-on Financings shall commence only upon completion of the Financing, which for certainty shall be composed of an equity financing for minimum gross proceeds of \$1,300,000.

provided that (i) no Loyalist Shares shall be issued to the Vendor if such issuance would result in the Vendor beneficially, directly or indirectly owning, controlling or exercising direction over 20% or more of the voting rights

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of Loyalist, unless Loyalist has first obtained the requisite regulatory approvals, including shareholder approval for the approval of a new control person of Loyalist and approval of the Exchange; and (ii) if Loyalist Shares cannot be issued because the aforesaid approvals are required but cannot be obtained, cash shall be paid in lieu thereof. Loyalist shall use all reasonable commercial efforts to meet the milestones.

Completion of the purchase is subject to various conditions including signing a definitive agreement and completing a private placement for at least \$1,300,000, among other things. There is no assurance that the purchase will be completed.

Lost Molly

The Lost Molly Property is comprised of 138 contiguous mining claims covering 2,534 hectares in Walls Township, in the Province of Ontario, and is located 80 km south of the town of Hearst, 16 km southeast of the village of Oba.

To earn its 100% interest, the Company must make the following optional cash and share payments and incur the following Exploration Work Expenditures on any of the Claims:

Cash and Share Payments	Exploration Work Expenditures
Initial Payment - \$30,000 (paid)	Year 1 - \$50,000 Revised to \$35,000 by August 31, 2024
1 st Anniversary - \$80,000 Revised to August 1, 2024	Year 2 – \$115,000
2 nd Anniversary - \$120,000	Year 3 - \$200,000
3 rd Anniversary - \$160,000	Year 4 - \$400,000

On April 12, 2024, the Company and the vendor entered into Option Agreement Amendment “A” to change the date of the first anniversary payment of \$80,000 to the earlier of the date which is one week following the first financing after a potential consolidation or August 1, 2024. In addition, \$35,000 of the Year 1 Exploration Work Expenditures are required to be completed before August 1, 2024, and the Year 2 Exploration Work Expenditures is amended to \$115,000.

Up to 50% of the respective cash payments may, at the option of the Company, be paid in common shares of the Company. If the Company exercises its right and option to make the respective cash payments partially in shares, the number of shares payable shall be determined for each such partial payment by dividing the amount of the partial payment by the 10-trading day average closing trading price of the Company's shares prior to the date of such payments. Such shares will be subject to required regulatory trading restrictions.

The Vendors are entitled to a three per cent (3%) Net Smelter Return royalty (the “NSR Royalty”) on all minerals or metals extracted from the Claims two-thirds of which (a 2% NSR) may be bought back for \$2,000,000.

Currently, the Company is in default of its obligations to make its payments and exploration expenditures as of August 1, 2024 and is considering its options going forward.

Summary of quarterly results

For the eight most recent quarters:

	June 30 2025	March 31 2025	December 31 2024	September 30 2024
	\$	\$	\$	\$
Net income (loss) for the period	(455,355)	(55,069)	(98,869)	(75,401)
Net loss per share (basic and diluted)	0.00	0.00	0.00	0.00
Total assets	32,649	35,493	18,895	31,034

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	June 30 2024	March 31 2024	December 31 2023	September 30 2023
	\$	\$	\$	\$
Net loss for the period	(81,069)	(45,910)	3,538	(80,333)
Net loss per share (basic and diluted)	0.00	0.00	0.00	0.00
Total assets	61,162	17,248	25,682	66,360

Results of operations

The Company's net loss for the six months ended June 30, 2025, was \$510,424 or \$0.00 per share (net loss of \$126,979 or \$0.00 per share for the six months ended June 30, 2024). The Company incurred exploration and evaluation expenditures of \$385,000 for the six months ended June 30, 2025 (2024 - \$nil), which consisted of property acquisition costs of Gold Rush - \$35,000 and Loveland - \$350,000. The Company also paid or accrued management fees and salaries of \$52,500 in 2025 (2024 - \$80,000), professional fees of \$42,932 (2024 - \$13,789) and share based compensation of \$nil (2024 - \$14,926).

The Company's net loss for the three months ended June 30, 2025, was \$455,355 or \$0.00 per share (net loss of \$81.069 or \$0.00 per share for the three months ended June 30, 2024). The Company incurred exploration and evaluation expenditures of \$385,000 for the three months ended June 30, 2025 (2024 - \$nil), which consisted of property acquisition costs of Gold Rush - \$35,000 and Loveland - \$350,000. The Company also paid or accrued management fees and salaries of \$30,000 in 2025 (2024 - \$50,000), professional fees of \$17,116 (2024 - \$13,343) and share based compensation of \$nil (2024 - \$5,677).

Related party transactions

Compensation of key management and directors

Key management compensation expense includes the Chief Executive Officer, the Chief Financial Officer and directors.

For the six months ended June 30	2025	2024
	\$	\$
Salaries and management fees	52,500	80,000
Share-based compensation	-	7,490
	52,500	87,490

Accounts payable and accrued liabilities as at June 30, 2025, include amounts owing to current and former directors and officers in the amount of \$148,996 (December 31, 2024 - \$101,825). These amounts are unsecured, non-interest bearing and have no fixed terms of repayment.

Included in accounts payable and accrued liabilities as at June 30, 2025, is a promissory note due to a director of the Company in the amount of \$30,000. The note bears interest at prime plus 2% and is due on October 8, 2025. In the event of a default, interest will continue to accrue at a rate of prime plus 10%.

Liquidity, capital resources, and outlook

The Company is an exploration-stage company and does not generate revenues. As such, it finances all of its operations and the exploration of its mineral properties entirely through the issuance of share capital. Although the Company has to date been successful in its attempts to raise capital, there can be no assurance that its future efforts will likewise be successful. The mineral exploration business is high risk, and the vast majority of exploration projects will not result in producing mines. The success of future financings will depend on a variety of factors including geological success – i.e., obtaining superior results from exploration; a positive investment climate encompassing strong metal prices, solid stock market conditions, and a “risk-on” appetite among investors; and the Company's track record and the ability and experience of management. If such financing is unavailable, the Company may be unable to retain its mineral interests and execute its business plans.

Loyalist Exploration Limited
Management's Discussion and Analysis

For the six months ended June 30, 2025

Off-balance sheet arrangements

The Company had no off-balance sheet arrangements at June 30, 2025.

Critical accounting estimates and policies

The Company's significant accounting policies and the adoption of new accounting policies are disclosed in note 2 to the audited financial statements prepared for the years ended December 31, 2024 and 2023.

Critical accounting estimates used in the preparation of the financial statements include the Company's estimate of the value of stock-based compensation and income tax accounts. These estimates involve considerable judgment and are, or could be, affected by significant factors that are out of the Company's control.

Commitments and contingencies

The Company has discontinued mining operations in various jurisdictions. An estimate of the total liability, if any, for which the Company might become obligated as a result of its role as operator, guarantor, or indemnifier is not determinable, nor expected to be material, and no amount has been provided in these financial statements.

The Company is party to employment agreements with its employees. These contracts contain clauses requiring additional payments to be made upon the occurrence of certain events such as change of control. The additional commitments total approximately \$90,000. As a triggering event has not taken place, the contingent payments have not been reflected in these consolidated financial statements.

The Company's mining and exploration activities are subject to various laws and regulations governing the protection of the environment. These laws and regulations are continually changing and generally becoming more restrictive. The Company believes its operations are materially in compliance with all applicable laws and regulations. The Company has made, and expects to make in the future, expenditures to comply with such laws and regulations.

Capital management

The capital of the Company consists of common shares, treasury shares, warrants and options. The Company manages and adjusts its capital structure based on available funds to support the acquisition, exploration and development of its exploration and evaluation assets. The Company manages its capital structure and adjusts it in light of changes in economic conditions and the risk characteristics of the underlying assets. To maintain or adjust its capital structure, the Company may issue new shares, seek debt financing, or acquire or dispose of assets. The Board of Directors does not establish quantitative return on capital criteria for management but rather relies on the expertise of the Company's management to sustain future development of the business. The Company is not subject to any externally imposed capital requirements. Management reviews its capital management approach on an on- going basis and believes that this approach, given the relative size of the Company, is reasonable. There have been no significant changes in the risks, objectives, policies, and procedures in 2025.

Management reviews its capital management approach on an ongoing basis and believes that this approach, given the relative size of the Company, is appropriate.

The Company is not presently subject to any capital requirements imposed by a regulator or lending institution body.

Fully diluted share capital

As of June 30, 2025, the Company had 260,831,368 common shares, 124,445,440 warrants, 8,092,749 broker warrants and 2,500,000 common share stock options outstanding. The number of common shares outstanding, on a fully diluted basis is 395,369,557.

As of August 29, 2025, the Company had 263,331,368 common shares and 123,688,764 warrants, 8,232,749 broker warrants and 2,500,000 common share stock options outstanding. The number of common shares outstanding, on a fully diluted basis is 397,752,881.

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Subsequent events

On July 14, 2025, the Company completed a private placement of financing consisting of the issuance of 3,000,000 units (the "Units"). Each Unit consists of one common share of the Company and one common share purchase warrant exercisable at a price of \$0.05 for thirty-six months following the date of issuance. In connection with the Offering, the Company paid finder's fees of \$2,400 and issued 300,000 finder's warrants to acquire one Unit of the Offering at the Offering Price for a period of sixty months from the closing date of the Financing.

Going Concern

The Company is in the exploration stage and is subject to the same risks and challenges as other companies in a comparable stage of development. These risks are described below. The financial statements for the year ended December 31, 2024, have been prepared using accounting policies applicable to a going concern, which contemplates the realization of assets and settlement of liabilities in the normal course of business as they become due. The business of mining and exploring for minerals involves a high degree of risk and there can be no assurance that current exploration programs will result in profitable mining operations. The Company's continued existence is dependent upon the preservation of its interests in the underlying properties, the discovery of economically recoverable reserves and the Company's ability to dispose of its interests on an advantageous basis.

The Company had a working capital deficiency of \$406,636 at June 30, 2025 (deficiency of \$302,212 at December 31, 2024). For the six months ended June 30, 2025, the Company had a net loss and comprehensive loss of \$510,424 (six months ended June 30, 2024 – loss of \$126,979).

The Company's ability to continue as a going concern is dependent upon obtaining additional financing and eventually achieving profitable production in the future. The Company is currently evaluating various options to address its financing needs. There can be no assurance that the Company's financing activities will continue to be successful or sufficient.

Risk factors

Risk factors are disclosed in the Management's Discussion and Analysis for the year ended December 31, 2024.

Forward-Looking Statements

Certain statements contained in this document constitute "forward-looking statements". All statements other than statements of historical fact contained in this MD&A, including, without limitation, those regarding the Company's future financial position and results of operations, strategy, proposed acquisitions, plans, objectives, goals and targets, and any statements preceded by, followed by or that include the words "believe", "expect", "aim", "intend", "plan", "continue", "will", "may", "would", "anticipate", "estimate", "forecast", "predict", "project", "seek", "should" or similar expressions or the negative thereof, are forward-looking statements. These statements are not historical facts but instead represent only the Company's expectations, estimates and projections regarding future events. These statements are not guarantees of future performance and involve assumptions, risks and uncertainties that are difficult to predict. Therefore, actual results may differ materially from what is expressed, implied, or forecasted in such forward-looking statements.

Additional factors that could cause actual results, performance or achievements to differ materially include, but are not limited to risks associated with: geological risks, limited operating history; inability to generate earnings or pay dividends for the foreseeable future; no current assets other than cash; uncertain ability to raise additional funds when required; reliance on a small number of key managers lacking backup; potential conflicts of interest among directors and officers of the Company; lack of liquidity for shareholders of the Company; ability to secure needed permits; ability to physically access and work the Company's property assets; availability of skilled labor; timing and amount of capital expenditures; future currency exchange and interest rates; and market risk consisting of fluctuations in the Company's share price, metal prices, credit market conditions, serious geopolitical conditions, and investor appetite for early stage exploration companies. See "Risks and Uncertainties".

Management provides forward-looking statements because they believe such statements deliver useful guidance and information to readers when considering their investment objectives. Though management believes such statements to be as accurate as possible in the context of the information available to management at the time in which they are made, management cautions readers that the guidance and information contained in such statements may rapidly be superseded by subsequent events. Consequently, all of the forward-looking statements made in this MD&A are qualified by these cautionary statements and other cautionary statements or factors contained herein, and there can be no assurance that the actual results or developments suggested by such forward-looking statement will be realized or, even if substantially realized, that they will have the expected results, or effects upon, the Company. These forward-looking statements are made as of the date of this MD&A and the Company assumes no obligation to update or revise them to reflect subsequent information, events, or circumstances or otherwise, except as required by law.

The forward-looking statements in this MD&A are based on numerous assumptions regarding the Company's present and future business strategies and the environment in which the Company will operate in the future, including assumptions regarding business and operating strategies.

Disclosure of internal controls

Management has established processes to provide them with sufficient knowledge to support representations that they have exercised reasonable diligence that (i) the audited annual financial statements do not contain any untrue statement of material fact or omit to state a material fact required to be stated or that is necessary to make a statement not misleading in light of the circumstances under which it is made, as of the date of and for the periods presented by the audited annual financial statements and (ii) the audited annual financial statements fairly present in all material respects the financial condition, results of operations and cash flow of the Company, as of the date of and for the years presented.

The Company is not required to certify the design and evaluation of the Company's disclosure controls and procedures ("DC&P") or its internal control over financial reporting ("ICFR"). There are inherent limitations on the ability of the certifying officers of the Company to design and implement on a cost-effective basis DC&P and ICFR for the Company, which may result in risks to the quality, reliability, transparency, and timeliness of interim and annual filings and other reports required under applicable securities legislation."

Additional disclosure for venture issuers without significant revenue

Additional disclosure concerning the Company's: (a) capitalized or expensed exploration and development costs; (b) expensed research and development costs; (c) deferred development costs; (d) general and administrative expenses; and (e) any material costs, whether expensed or recognized as assets, not already referred to in this MD&A is provided in the Company's Audited Financial Statements for the year ended December 31, 2024, which can be accessed on SEDAR under the Company's profile page at www.sedarplus.ca.